common objective of furthering financial inclusion.[4]" Both Small banks and Payment banks can have all India operations.

The small bank will primarily undertake basic banking activities of acceptance of deposits and lending to un-served and under served sections, including small business units, small and marginal farmers, micro and small industries and unorganised sector entities. The Small banks will be required to extend 75 per cent of its credit to priority sector.

Payment banks can accept deposits of both current and savings bank account from individuals, small businesses and other entities subject to maximum of ₹1 lakh per individual, initially. However, they cannot accept non-resident Indian deposits. They can issue ATM/Debit cards but cannot issue credit cards but will have a widespread network of access points particularly to remote areas, either through their own branch network or through Business Correspondents (BCs) or through networks provided by others. They will add value by adapting technological solutions to lower costs." [5]

Local Area Bank in Private Sector

Privates were allowed to set up banks to operate in limited areas. These are called Local Area Banks (LAB). The branches can be set up within the limits of geographicallythree contiguous districts. Backward and less developed districts are considered for area of operation of these LABs. These were set up to meet the local credit needs by exploiting local resources itself.

They are registered under the Companies Act 1956. The required minimum paid up capital is ₹5 crore. The promoter should contribute at least ₹2 crore. These Local Area Banks are regulated under RBI Act 1934, Banking Regulation Act 1949 and Regional Rural Bank (RRB) Act 1976.

Foreign Private Banks